MAY 2021 FORECAST UPDATE

Brecksville-Broadview Heights City School District

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WHAT IS A FORECAST?

A forecast is a snapshot at a specific point in time and based off the most current information available.

<u>Disclaimers:</u>

1. A forecast is a living document and can change within hours or days of publication.
2. Assumptions laid out in this presentation in no way represent a baseline for any current or future negotiations with CBAs.
3. Due to the COVID-19 Pandemic all schools continue to be in unchartered territory both academically and financially. BBHCSD will continue to monitor its financial situation as information becomes available

KIS STATEMENT

	2021	2022	2023	2024	2025
Beginning Cash Balance	$19,867,227	$19,323,644	$18,524,982	$16,740,069	$13,751,161
+ Revenue	$51,252,939	$52,059,915	$52,692,784	$53,230,698	$53,659,915
+ Renewal Levies	$0	$0	$0	$0	$0
+ New Levies	$0	$0	$0	$0	$0
- Expenditures	$51,796,522	$52,858,577	$54,477,697	$56,219,606	$57,813,499
= Revenue Surplus or Deficit	**-$543,583**	**-$798,662**	**-$1,784,913**	**-$2,988,908**	**-$4,153,584**
Ending Cash Balance with Levies	$19,323,644	$18,524,982	$16,740,069	$13,751,161	$9,597,577

	2021	2022	2023	2024	2025
Beginning Cash Balance	$19,867,227	$19,942,916	$19,687,564	$18,612,181	$16,143,603
+ Revenue	$52,074,622	$52,606,525	$53,244,225	$53,501,507	$53,815,068
+ Renewal Levies	$0	$0	$0	$0	$0
+ New Levies	$0	$0	$0	$0	$0
- Expenditures	$51,998,933	$52,861,877	$54,319,608	$55,970,085	$57,605,049
= Revenue Surplus or Deficit	**$75,689**	**-$255,352**	**-$1,075,383**	**-$2,468,578**	**-$3,789,981**
Ending Cash Balance with Levies	$19,942,916	$19,687,564	$18,612,181	$16,143,603	$12,353,622
Revenue Surplus or Deficit without Levies	$75,689	-$255,352	-$1,075,383	-$2,468,578	-$3,789,981
Ending Cash Balance without Levies	$19,942,916	$19,687,564	$18,612,181	$16,143,603	$12,353,622

**Balances not reduced for encumbrances or reservations

WHAT'S BEEN UPDATED WITH REVENUES?

- Unrestricted State Aid
  - The General Assembly and the Governor have indicated we should at least resume back to FY19 funding levels.
  - This accounts for most of the revenue increases in this update.
- Real Estate
  - Earlier estimates were lower due to current conditions. Since last fall, indications are that there will be more growth in terms of real estate.
  - While this is somewhat of an increase, the amount is still conservative.

WHAT'S BEEN UPDATED WITH EXPENDITURES?

- Personnel Services
  - Some savings have been added to include:
    - Reductions as an outcome of the Special Education Audit
    - Significantly more retirements than were anticipated last fall.
- Benefits
  - Projections have increased to 10% from previously 9%.
  - Indications currently are that this could be potentially realized as early as October 2021.
- Purchased Services
  - Legal fees have been increased due to circumstances outside of our control
- Supplies
  - Continued higher levels of supplies.

GENERAL COMMENTS

- We have done an excellent job reigning in expenditures and utilizing federal dollars to the best of our ability.
- We have dramatically improved efficiencies throughout the district as it pertains to finances and will continue to drill down into more efficiencies over time.
- Salaries and Benefits account for the majority of our expenditures and will need to be closely monitored in order to maintain financial success. Target of total budget should be 75% (currently 85%)
- New Building Assumptions
    - The Fall 2021 Forecast will have updated estimates. We have preliminary work done